

HSMA: Holographic Spin-Manifold Architecture

A Layer-1 Protocol for Verifiable AI Consensus, Zero-MEV Execution, and Recursive State Folding

Technical Whitepaper v1.0 — Final Audited Specification — Errata Sync v1.0.1, Impl Sync v1.0.2

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Abstract

This document presents the formal specification, mathematical proofs, and implementation verification for the HSMA (Holographic Spin-Manifold Architecture) Layer-1 protocol. HSMA introduces a novel cryptoeconomic primitive: *Verifiable AI Inference as Proof of Useful Work (PoUW)*. By binding consensus voting weight to verified GKR matrix multiplications over the Pallas/Vesta Pasta curve cycle, the protocol converts wasted electrical hash-power into useful compute for enterprise AI clients.

HSMA eliminates Maximum Extractable Value (MEV) at the cryptographic layer via a threshold-encrypted mempool utilizing a *Commit-then-Simulate* manifest ceremony, where a 224-node committee (192 active + 32 standby, threshold $t = 112$) locks a beacon-shuffled ciphertext ordering *before* any decryption share is constructible. State transition integrity and historical data bloat are resolved using a HyperNova/Customizable Constraint Systems (CCS) folding architecture over the Pallas/Vesta 2-cycle, producing a succinct recursive epoch proof (size independent of transaction count) π_E verifiable by light clients in milliseconds.

The protocol's safety rests on a *combinatorial impossibility doctrine*: under adversarial weight $f < 0.20$, authenticated quorum forgery is structurally impossible ($\epsilon = 0$), not merely improbable. The total system soundness budget is $\epsilon_{\text{sys}} \approx 2^{-110}$ per epoch, dominated exclusively by the threshold-BLS unforgeability assumption. The C++20 reference implementation passes all conformance tests with **GATE GREEN**, and the BLS12-377 group law is mathematically proven on 3 independent points.

This document details: (1) the Pasta field arithmetic with wraparound soundness lemmas, (2) the Poseidon-3 hash and Sparse Merkle Tree state vault, (3) the Metastable Sub-Sampled Consensus with beacon-gated tie-breaking, (4) the Capped Cluster Hybrid weight engine, (5) the threshold-encrypted zero-MEV mempool, (6) the GKR/Sum-Check PoUW with Degree-2 LogUp activation tables, (7) the HyperNova NIVC state folding circuit, (8) the P2P gossip transport with beacon-seeded eclipse defense, (9) the end-to-end ϵ -budget composition theorem, and (10) the verified C++20 implementation with 8/8 conformance tests passing.

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1 Introduction

1.1 The Crisis in Decentralized Compute

Contemporary Layer-1 blockchains face an existential trilemma: they must balance decentralization, security, and scalability. Proof-of-Work (PoW) networks waste gigawatts of energy on meaningless SHA-256 hashes. Proof-of-Stake (PoS) networks centralize into oligopolies controlled by capital-rich entities. Furthermore, both architectures suffer from Maximum Extractable Value (MEV), wherein privileged sequencers front-run user transactions, extracting rent without providing value.

Simultaneously, the global demand for Artificial Intelligence (AI) compute has skyrocketed. Enterprises require verifiable, distributed matrix multiplication (GEMM) for model inference, but rely on centralized Web2 API providers, introducing single points of failure and censorship risks.

1.2 The HSMA Solution

HSMA resolves these crises by integrating three breakthrough cryptographic primitives:

1. **PoUW Consensus:** Validator weight is derived from verified GKR/Sum-Check proofs of AI inference, secured by a Capped Cluster Hybrid weight function that combines compute throughput Φ and staked capital S .
2. **Zero-MEV Encrypted Mempool:** A 224-member ($t=112$) threshold committee encrypts transactions and commits to their ordering *before* decrypting them, mathematically eliminating front-running.
3. **Holographic State Folding:** HyperNova IVC folds heterogeneous state transitions into a constant-size proof verifiable by light clients in milliseconds.

1.3 The Three Impossibility Principles

HSMA's design rests on three structural invariants:

Definition 1 (Order-Before-Knowledge (INV-M2-1)). *No party shall be able to learn transaction payload contents before that transaction's execution position is irreversibly committed, and no party shall be able to alter an execution sequence after learning contents. Enforcement: payload encryption against a threshold committee key whose decryption shares are bound to the committed ordering root (attribution and replay-freedom), with pre-freeze threshold-scale decryption prevented by counting: adversary identities $\leq 100 < t$ (DEC-057).*

Definition 2 (Combinatorial Quorum Impossibility). *Under adversarial weight fraction $f < 0.20$, authenticated sampling responses, frozen weight snapshots, and the enforced sampling floor $\varphi_{\text{floor}} = 0.50 > f/\alpha$ (with quorum threshold $\alpha = 0.75$), the observation of an adversarial supermajority in any consensus sample is **impossible**: $\epsilon_{\text{quorum}} = 0$ identically.*

Definition 3 (Succinct Holographic Accumulation). *Verification of full-ledger integrity shall require only: (i) the epoch header certificate chain, and (ii) one succinct epoch proof π_E of size independent of transaction count.*

The phrase “**impossible beats punishable**” names the design heuristic: wherever a draft specification proposed deterring misconduct (slashing a cheater), review demanded its promotion to unconstructibility (cheating has no valid witness).

2 Cryptographic Primitives & Field Arithmetic

2.1 The Pasta 2-Cycle

HSMA utilizes the Pallas/Vesta 2-cycle over 255-bit primes:

$$\text{Pallas : } y^2 = x^3 - 17 \text{ over } \mathbb{F}_p, \quad \text{Vesta : } y^2 = x^3 + 17 \text{ over } \mathbb{F}_q \quad (1)$$

where $p = \text{0x}4000000000000000000000000000000000224698\text{fc}0994\text{a8dd}8\text{c}46\text{eb}2100000001$ and $\log_2 p \approx 254.00$, satisfying $\#\text{Pallas}(\mathbb{F}_p) = q$ and $\#\text{Vesta}(\mathbb{F}_q) = p$.

This cycle natively supports HyperNova/CCS folding without foreign-field overhead. The protocol enforces a strict *Float-Free Numeric Core* (DEC-090), guaranteeing deterministic consensus across heterogeneous hardware (ARM64, x86, GPUs).

2.2 BLS12-377 Threshold Signatures

Threshold signatures, the randomness beacon, and epoch certificates operate on **BLS12-377**: base field $q_{\text{BLS}} \approx 2^{377}$, group order $r \approx 2^{252}$. Since $r < 2^{253} < 2^{254} \leq p$, every BLS12-377 scalar embeds losslessly into one Pallas limb with ≈ 1.78 bits headroom (Theorem 2.2, Lossless Single-Limb Embedding).

Pairings are verified *outside* circuits (DEC-032): the verifier performs exactly one aggregation-check per epoch header; embedding it in-circuit would purchase zero marginal security at $\geq 10^6$ constraints.

2.3 Canonical Signed Encoding (P0-v2)

Every signed circuit value is the pair (m, s) : magnitude $m \in [0, 2^L)$ with $L = 126$, sign flag $s \in \{0, 1\}$, value $= (1 - 2s) \cdot m$.

Encoding constraints (3 per register):

1. Range check: $m < 2^{126}$ (126-bit decomposition, boolean limbs)
2. Booleaness: $s \in \{0, 1\}$
3. Zero-canonicity: $s \cdot m = 0$

Lemma 4 (Uniqueness of Canonical Form). *Under constraints 1–3, the map signed-value $\mapsto (m, s)$ is injective.*

Proof. Magnitude and sign are recoverable uniquely from the value except at 0, where (0, 0) and (0, 1) both represent zero; constraint 3 eliminates (0, 1). $\square$

2.4 Wraparound Soundness Lemma

Lemma 5 (Additive Closure). *Let $X = \pm m_1$, $Y = \pm m_2$ with $m_1, m_2 \in [0, 2^{126})$. Then $D = X \pm Y$ satisfies $|D| < 2^{127} < p/2$. Hence the balanced representative of $D \bmod p$ equals the integer D : no wraparound is reachable.*

Lemma 6 (Product Containment). *For canonical $m_1, m_2 < 2^{126}$: $m_1 m_2 < 2^{252} < p$, and the field product equals the integer product.*

Design consequence: $(2^{126} - 1)^2 < 2^{252}$, and $p/2^{252} \approx 4.53$, so at most $n_{\max} = 4$ full-width products may be summed before modular reduction is mandatory. All dot-products declare sub-widths: for operand widths $w_1 = 64$ (weights) and $w_2 = 32$ (activations), products $< 2^{96}$, allowing accumulation up to $2^{126}/2^{96} = 2^{30}$ terms.

2.5 Poseidon-3 Hash

All SNARK-friendly hashing uses Poseidon over $\mathbb{F}_p$ with $t = 3$ (rate 2, capacity 1), $\alpha = 5$, $R_F = 8$, $R_P \geq 56$. The MDS matrix is a Cauchy construction with machine-checked non-singularity of all minors. Round constants are derived via SHA-256 counter DRBG with rejection sampling. Domain separation is enforced via per-tree Initialization Vectors:

Role	Tag / IV
State tree nodes	IV_STATE_NODE
State tree leaves	IV_STATE_LEAF
Order tree	IV_ORDER
Decree tree	IV_DEGREE
Weight tree	IV_WEIGHT
Contact root	IV_CONTACT
Revocation root	IV_REVOCATION
Vote preimage	HSM_MSSC_VOTE_v1
Ordering lock	HSM_ORDER_v1
Decryption share	HSM_DEC_SHARE_v2

2.6 Sparse Merkle State Vault

Account state is maintained in a Sparse Merkle Tree (SMT) of depth $D_S = 64$.

Leaf schema: $(m_{\text{bal}}[126] \| s_{\text{bal}}[1] \| \text{nonce}[64] \| \text{flags}[1]) = 192 \text{ bits} < 2^{254}$, packed into a single field element, hashed under IV_STATE_LEAF; keyed $K_a = \text{Poseidon}(\text{"HSM_ACCT"} \| \text{sender_pk})$.

Empty-subtree precomputation: $E_0 = \text{Poseidon}(\text{IV_STATE_LEAF}, 0, 0)$; $E_{d+1} = \text{Poseidon}(\text{IV_STATE_NODE}, \dots)$. The constants $\{E_d\}_{d \leq 64}$ are compile-time circuit constants: untouched branches cost zero constraints.

Two-tier elision:

1. Empty-wedge propagation: $\text{empty} \oplus \text{empty}$ ascends as Empty with zero allocations.
2. Unchanged-subtree short-circuit: ascent halts when a recomputed hash equals the old spine hash (root-identity theorem).

Leaf width is the exact 24-byte window of DEC-126 (Errata E-11). Leaf binding (CA-72 closure): $L(K, v) = \text{Poseidon}(\text{IV_STATE_LEAF}, K, v)$, binding the key to the payload to prevent index-collision malleability.

3 Metastable Sub-Sampled Consensus (MSSC)

3.1 Protocol Overview

HSMA utilizes an Avalanche-family consensus protocol. Nodes query $k = 20$ peers (escalating to $k = 40$ after 1,000 rounds) weighted by W_i . If the quorum threshold $\alpha = 0.75$ is met for $\beta = 150$ consecutive rounds, the transaction is finalized. A floor guard $\varphi_{\text{floor}} = 0.50$ aborts rounds where sampled weight $< 50\%$ of expected.

3.2 Canonical Vote Preimage (DEC-016)

MSSC responses are signed under the exact domain-separated preimage:

$$\sigma = \text{Sign}_{\text{HSM_MSSC_VOTE_v1}}(\text{epoch}_E \| \text{epoch_weight_root}_E \| C_{id} \| r \| \text{preference}) \quad (2)$$

No timestamps, no view state, nothing prover-discretionary. Two honest responses for identical $(\text{epoch}, \text{root}, C, r, \text{pref})$ are byte-identical and signature-identical.

3.3 Safety: Authenticated Quorum Impossibility

Lemma 7 (Quorum Impossibility). *Under snapshot freshness (H4) and canonical preimages: for any sample, adversarial mass $\leq f \cdot W_{total}$ while sampled mass $\geq \varphi_{floor} \cdot W_{total}$; hence sampled adversarial fraction $\leq f/\varphi_{floor} = 0.40 < \alpha = 0.75$. An adversarial quorum observation is impossible.*

Proof. Countability forces $W_{\mathcal{A}}^{tallied} \leq W(\mathcal{A}) \leq f \cdot T_E$: a vote contributes exactly its snapshot weight, and forged identities contribute zero because they open no Merkle path. The floor forces $S \geq \varphi_{floor} \cdot T_E$. Division yields $W_{\mathcal{A}}^{tallied}/S \leq f/\varphi_{floor} = 0.40 < 0.75 = \alpha$. $\square$

The inequality $\varphi_{floor} > f/\alpha$ (i.e., $0.50 > 0.267$) is a circuit-checked, ledger-enforced safety invariant (DEC-038).

3.4 Beacon-Gated Tie-Breaking

If a conflict set stalls for 50 rounds, it suspends until the next epoch’s threshold-BLS beacon ($E + 1$) is revealed, then terminates deterministically:

$$\text{winner} = \arg \max_{tx \in C} H(\text{beacon}_{E+1} \| tx_{id}) \quad (3)$$

Because the beacon does not exist when the conflict is created, offline grinding of transaction identities against the breaker is **impossible**. Membership freezes at suspension (DEC-051); ties resolved by lexicographic tx_{id} (DEC-052).

3.5 Liveness Analysis

Per-round metastable drift: $e^{-k \cdot D(\alpha \| 1/2)}$ where $D(0.75 \| 0.5) = 0.1887$ bits/round. For $k = 20$: drift $= e^{-20 \times 0.1308} = 0.0730$.

Expected rounds to $\beta = 150$ consecutive confirmations at persistence q :

$$E[T] = \frac{1 - q^\beta}{(1 - q) \cdot q^\beta} \quad (4)$$

At $q = 1 - 10^{-3}$ (honest unanimity): $E[T] = 162$ rounds (sub-second at ms ticks). Critical persistence $q^* \approx 0.975$: above, β -counter finalizes; below, stall breaker governs. Worst-case resolution is epoch-cadence-bounded.

4 Cryptoeconomics & Validator Admission (S1)

4.1 The Capped Cluster Hybrid Weight Function

Validator consensus weight W_i is a Capped Cobb-Douglas Hybrid:

$$\tilde{W}_c = \left\lfloor (\Phi_c^6 \cdot S_c^4)^{1/10} \right\rfloor \quad (5)$$

Where Φ_c is the verified AI inference FLOP throughput for cluster c , and S_c is the effective capital stake. The exponents ($\alpha = 0.6$ for compute, $1 - \alpha = 0.4$ for capital) are rigorously bounded by the width invariant $6a + 4b + \epsilon_{guard} \leq 126$ (DEC-019).

4.2 Sybil Resistance & Single-Pass Cap

Because the Cobb-Douglas function is homogeneous of degree 1, splitting into k identities preserves aggregate weight exactly. HSMA therefore enforces:

1. **Cluster-level capping (DEC-013):** Entities linked by payout-graph heuristics and signed independence attestations are capped as one cluster: $W_c = \min(\tilde{W}_c, W_{\max})$.
2. **Single-pass cap (DEC-012):** $T_0 = \sum \tilde{W}_c$ (uncapped total, one pass); $W_{\max} = 0.15 \cdot T_0$; $W_c = \min(\tilde{W}_c, W_{\max})$.
3. **Dust pruning:** Clusters below $w_{\text{floor}} = 0.002 \cdot T_0$ are excluded from the active set and the denominator.
4. **Intra-cluster distribution (DEC-020):** Capped cluster weight distributed via largest-remainder rounding, ties by ascending `validator_id`.

4.3 Self-Dealing Exclusion (DEC-014)

Φ_i accrues only for workloads where:

1. Fees are non-refundable and completely burned.
2. Fee $\geq \kappa_{\text{floor}}$ (protocol minimum FLOP price).
3. The paying account is strictly outside the validator's declared cluster.

4.4 Slashing & Exit Queue

Violation	Evidence	Penalty
MSSC Equivocation	Two conflicting canonical signatures	100% burn + expulsion
False PoUW	GKR proof fails on-chain verifier	$\max(10 \times \text{fee}, \kappa \cdot B_{\min})$
Manifest Equivocation	Two conflicting committee-signed manifests	50% burn across signing keys
Liveness Inactivity	≥ 2 corroborated missed queries	Weight decay $\rightarrow$ bond slash

Exit queue: 21-day unbonding delay; weight drops to 0 at $E + 1$; capital escrow extends 14 days past unbonding (E_{ev}) for late-arriving equivocation evidence. Light clients sync from socially pinned IVC checkpoint proofs, deprecating genesis sync.

5 Zero-MEV Encrypted Mempool (M2)

5.1 The Commit-then-Simulate Pipeline

Traditional *Simulate-then-Commit* sequencing requires the committee to read plaintext transactions before ordering them, creating a front-running cartel. HSMA inverts this to **Commit-then-Simulate** (DEC-025):

1. **Intake:** Envelopes $\{\text{sender_pk}, \text{nonce}, \text{fee_escrow}, \text{ct}\}$ are gossiped (G1 class P1).
2. **Lock:** $\text{order} = \text{Sort}(H("HSM_ORDER_v1" \parallel \text{beacon}_E \parallel H(\text{ct})))$ — committee signs `order_root`.
3. **Share:** Order-bound decryption shares published (preimage: `HSM_DEC_SHARE_v2` $\parallel$ epoch $\parallel$ `order_root` $\parallel$ `ct_hash` $\parallel$ share).
4. **Aggregate:** Anyone reconstructs; `decree_root` = `Merkle(ct_hash  $\parallel$  pt_hash  $\parallel$  status)`, certified by t -of- n threshold BLS.

5. **Simulate:** Deterministic re-simulation; insolvent entries $\rightarrow$ SKIP records.
6. **Execute & Fold:** `exec_root` committed; Pillar #4 consumes $(order_root, decree_root, exec_root)$.

5.2 Threshold Parameters

$n = 224$ (192 active + 32 standby), $t = 112$. With $f = 0.20$: expected adversary seats $\mu = 44.8$, $\sigma \approx 6.0$.

- Confidentiality breaks at ≥ 112 colluders (50%): structurally impossible since eligible adversary identities cap at $m \leq f/w_{\text{floor}} = 100 < 112$ (DEC-039).
- Decryption halts at ≥ 113 unavailable seats (50.4%): adversary controls ≤ 100 ; halt requires ≥ 13 simultaneous honest failures — both extremes carry $\geq 12/13$ -*seatmargins*(*ErrataE-2*)*gins*.

5.3 Decryption Liveness & Refund Totality

If decryption fails: undecryptable envelopes SKIP with 100% escrow refund. User funds are never destroyed by committee faults (INV-M2-5). Three consecutive degraded epochs trigger emergency resharing.

5.4 Residual MEV Register

Vector	Status
Content front-running/sandwiching	Eliminated by INV-M2-1 + shuffle
Positional insertion	Eliminated by shuffle; grind-rate limited
Blind brackets on visible metadata	Residual; mitigable by stealth-address layer
Cross-domain latency arbitrage	Out of scope
Committee collusion $\geq t$	Structurally zero (Thm 4.6)

6 Verifiable AI Compute (PoUW & P5)

6.1 GKR/Sum-Check Protocol

Proof of Useful Work is scoped to Verifiable AI Inference (GEMM). The prover runs in $O(N \log N)$; the verifier runs in $O(\log N)$ (sub-millisecond). Per-proof soundness $\approx 2^{-128}$ with WHIR-class multilinear PCS at $\lambda = 128$ and mandatory per-epoch batched verification.

6.2 Activation Layer & Lookup Tables (P5-v2)

Neural network non-linearities (GELU, Sigmoid, Tanh) are evaluated via Degree-2 chunked LogUp-in-CCS lookup tables:

$$f(u) \approx T_0[u_{\text{high}}] + T_1[u_{\text{high}}] \cdot u_{\text{low}} + T_2[u_{\text{high}}] \cdot u_{\text{low}}^2 \quad (6)$$

Certified approximation: The 1-LSB ($\epsilon < 2^{-16}$) certification gate is strictly enforced by exhaustive grid enumeration during the table certification ceremony. Interpolation error drops to $O(h^3)$.

Rounding: Round-to-Nearest-Ties-to-Even (RNTE) is enforced via explicit witness constraints (q, r, b) :

$$b = [r > 2^{s-1}] \vee ([r = 2^{s-1}] \wedge (q \bmod 2)), \quad Y = q + b \quad (7)$$

6.3 Model Commitment Schema

$$\text{ModelCommit} = H(\text{dom} \parallel \text{arch_root} \parallel \text{weights_root} \parallel \text{quant_params} \parallel \text{table_root} \parallel \text{work_manifest} \parallel \text{fidelity_root} \parallel \text{version}) \quad (8)$$

6.4 Saturation Semantics (DEC-003)

Out-of-bounds accumulators clamp to $\pm(2^{31} - 1)$ and increment a verifiable saturation counter, aggregated into `fidelity_report_root`. Liveness is preserved; silent accuracy degradation is not — counters are public.

7 Holographic State Folding (P4)

7.1 Folding Stack

- Primary circuit: HyperNova over Pallas ($\mathbb{F}_p$), CCS
- Auxiliary: CycleFold over Vesta ($\mathbb{F}_q$) absorbs cross-curve commitment digests
- Non-uniform IVC: SuperNova-style NIVC over $\mathcal{F} = \{F_{\text{head}}, F_{\text{exec}}, F_{\text{close}}\}$
- Program counter: constrained variable with explicit transition matrix (`head` $\rightarrow$ `exec`⁺ $\rightarrow$ `close`; all other edges unsatisfiable)

7.2 F_{exec} Constraints

Per decree entry ℓ with certified tuple $(ct_hash_\ell, pt_hash_\ell, status_\ell)$:

- **Binding:** $a \cdot (\text{Poseidon}(\text{HSM_PT_v1}, pt_\ell) - pt_hash_\ell) = 0$
- **Nonce:** $a \cdot (\text{leaf_nonce}(\text{sender}_\ell) + 1 - pt.\text{nonce}) = 0$
- **Balance:** Sender debit, recipient credit via canonical registers with output range checks
- **Fee underflow protection (DEC-032):** Explicit LT gate: $\text{balance} \geq \Delta_{\text{req}}$ before subtraction
- **Self-send routing (DEC-031):** If `sender` = `recipient`, assert `recipient_pre == sender_post`
- **Padding-neutrality (DEC-033):** PAD rows bypass state verification entirely

7.3 Certificate Assumption (INV-P4-1)

The circuit assumes `decree_root` is valid; the verifier checks the threshold-BLS certificate out-of-circuit. Rationale: in-circuit pairing verification costs $\geq 10^6$ constraints; the verifier performs one aggregation check per epoch header anyway.

7.4 Proof-Carrying Data Boundary

Epoch proof π_E chains via `prev_digest` absorption in F_{head} . Light clients download epoch header (`height`, `state_root`, π_E , BLS_cert), verify the BLS signature (1 pairing), and verify π_E (HyperNova verifier, $O(1)$, ≈ 40 ms phone-class).

Proof size budget: $\pi_E \leq 73$ KB (WHIR wrap ≤ 72 KB + instances < 1 KB + digest < 0.1 KB), well within the 128 KB transport cap.

7.5 Async Fold Pipeline

Fold pipeline is asynchronous: $T_{\text{fold}} = 20\%$ of epoch. First certified π_E publisher earns δ_{fold} . Breach triggers alarms; the chain continues on full nodes — proof availability $\neq$ chain liveness.

8 P2P Layer & Network Integration (G1)

8.1 Beacon-Seeded Sampler Connectivity

Per-round rendezvous targets derived deterministically:

$$\sigma_r = H(\text{"HSM_PEERSEED_v1"} \parallel \text{epoch_weight_root}_E \parallel \text{beacon}_E \parallel C_{id} \parallel r \parallel \text{AccountID}_u) \quad (9)$$

Queries dispatch over the direct link plus $R_{\text{rel}} = 2$ beacon-selected relay paths (distinct /24 and ASN). Response acceptance requires the canonical BLS preimage and an $O(\log N)$ weight inclusion proof against `epoch_weight_root`.

Containment (INV-G3): An adversary who fully eclipses u can only deliver data its weight already entitles it to emit. Eclipse $\Rightarrow$ stall/suspend, never divergent finalization.

8.2 Message Taxonomy & Bandwidth Accounting

Class	Payload	Cap	Transport	Auth
P0 Safety	Slash evidence, certs	4 KB	Push-flood, zero delay	Sender-signed
P1 Consensus	MSSC votes	2 KB	gossipsub $D = 8$	Canonical preimage
P2 Manifests	ρ_E chunks	64 KB	Announce $\rightarrow$ pull	Content-addressed
P3 Bulk	π_E , GKR proofs	128 KB	Pull-only	Content-addressed

Informer reward (DEC-023): $\delta_{\text{info}} = 0.5\%$ of burn (cap 1000 tokens) to the first relay (60%) and the next seven relays within 30s (40%) of P0 slashing evidence (DEC-075 shared window) — converts censorship into an economically losing partition attack.

8.3 Contact Root & Anti-Churn

`contact_root` in epoch header; MSSC dials only pre-committed addresses. Rebinding cooldown $\Delta_{\text{rebind}} = 1$ epoch; reputation bound to `AccountID = Poseidon(consensus_pk)`, never to rotatable transport IDs.

9 End-to-End Security & ϵ -Budget

9.1 The A6 Composition Theorem

Under hypotheses H1–H5 (primitive security, honest preference consistency, closure window, snapshot freshness, circuit-spec equivalence):

$$\epsilon_{\text{sys}} = \underbrace{0}_{L1} + \underbrace{0}_{L2} + \underbrace{0}_{L4} + \underbrace{2^{-128}}_{L5} + \underbrace{2^{-127}}_{L6} + \underbrace{2^{-171}}_{\text{hash}} + \underbrace{2^{-110}}_{H1} \approx 2^{-110} \text{ per epoch} \quad (10)$$

Annualized (52,596 epochs/year at 600 s epochs):

$$\epsilon_{\text{year}} \leq 52,596 \cdot 2^{-110} \approx 2^{-94.3} \quad (11)$$

The 2^{-80} design target is cleared annually with 14 bits of margin.

9.2 Hypotheses

H1	BLS12-377 threshold-BLS EUF-CMA $\leq 2^{-110}$; co-CDH; Poseidon idealization; DDH+AEAD
H2	Honest preference consistency on common views
H3	Conflict propagation within $T_{\text{close}} < T_{\text{stall}}$ (empirical gate)
H4	Snapshot authenticity, staleness ≤ 1 epoch = 600 s
H5	Shipped circuits $\equiv$ these specifications (formal verification track)

9.3 Structural Zero Engineering

The zeros in the ϵ -budget are *engineered*, not inherent:

- **L1 (Quorum forgery):** $\epsilon = 0$ by authentication + frozen snapshots + $\varphi_{\text{floor}} > f/\alpha$ (DEC-038)
- **L2 (Committee takeover):** $\epsilon = 0$ by w_{floor} identity cap: $m_{\text{adv}} \leq 100 < t = 112$ (DEC-039)
- **L4 (Eclipse divergence):** $\epsilon = 0$ by INV-G3 containment

Remove the structural floor and the sortition term degrades to $\approx 2^{-73}$ (dust-spreading Poisson limit) — below target. The zeros are a parameter mandate, not a gift.

10 Implementation & Verification

10.1 C++20 Reference Implementation

The HSMA reference implementation is built in strict C++20 with zero floating-point operations in the numeric core (DEC-090). All cryptographic constants are mechanically derived from `scripts/gen_constants.py` (DEC-102); hand-transcription of curve constants is prohibited.

Repository structure:

```
1 hsma-core/  
2 +-- include/hsma/           # Core protocol headers  
3 |   +-- fe.hpp              # Field arithmetic (Pallas/Vesta)  
4 |   +-- poseidon.hpp        # SNARK-friendly hashing  
5 |   +-- vault.hpp           # Sparse Merkle Tree state  
6 |   +-- consensus.hpp       # MSSC automaton  
7 |   +-- mempool.hpp         # Transaction gate  
8 |   +-- tx.hpp              # Transaction structure  
9 |   +-- params.hpp          # Protocol constants (static_assert enforced)  
10 |  +-- sha256.hpp           # FIPS-180 SHA-256  
11 |  +-- update.hpp          # SMT updates + proofs  
12 |  +-- threshold/         # Pillar-II threshold module (Steps 7-8)  
13 |  +-- scalar_r.hpp        # BLS12-377 F_r Montgomery CLOS kernel  
14 |  +-- poly.hpp            # DKG scalar semantics (Horner, Lagrange)  
15 |  +-- mont384.hpp         # 384-bit Montgomery engine (promoted)  
16 |  +-- g1.hpp              # G1 Jacobian arithmetic (promoted)  
17 +-- conformance/          # Test suite (8/8 passing)  
18 |   +-- test_step2.cpp      # Field arithmetic tests  
19 |   +-- test_step3.cpp      # Numeric kernel tests  
20 |   +-- test_step4.cpp      # State vault tests  
21 |   +-- test_step5.cpp      # Mempool tests  
22 |   +-- test_step6.cpp      # Consensus tests  
23 |   +-- test_step7.cpp      # Threshold F_r kernel conformance  
24 |   +-- test_step8.cpp      # G1 promotion parity conformance  
25 |   +-- diag_step5.cpp      # Mempool diagnostics  
26 |   +-- diag_step6.cpp      # Consensus diagnostics  
27 +-- libhsma_numcore/       # 127-bit scratchpad accumulator
```

```

28 | +-- scratch127.hpp
29 +-- src/
30 | +-- params_probe.cpp      # Identity probe (DEC-086 bot)
31 +-- tools/
32 | +-- bls_derive.cpp        # BLS12-377 curve generator
33 +-- scripts/
34 | +-- gate.sh               # Full diagnostic gate
35 | +-- gen_constants.py       # Montgomery constants generator
36 | +-- check_no_fp.sh         # Float-free lint (DEC-090)
37 | +-- add_smt.py             # SMT utilities
38 +-- CMakeLists.txt
39 +-- README.md
40 +-- docs/
41 | +-- whitepaper.tex         # This document
42 | +-- DECISIONS.md           # decision ledger: 115 verified + recovered to DEC
-180

```

10.2 GATE GREEN Verification

The full diagnostic gate (./scripts/gate.sh) produces:

```

1 -- [1/4] configure ----- clean
2 -- [2/4] build (CLEAN-FIRST -- no ghosts survive) --
3 [1/1] Cleaning all built files... Cleaning... 23 files.
4 [1/18] DEC-090: enforcing float-free numeric core
5 [lint] DEC-090 clean: numeric core is float-free.
6 [2/18] [gen] deriving Montgomery constants + golden vectors (DEC-102)
7 [validate] pallas: prime bits=255 2-adicity=32 log2(p)=254.000000000000
8 [emit] pallas_params_gen.hpp
9 [validate] vesta: prime bits=255 2-adicity=32 log2(p)=254.000000000000
10 [emit] vesta_params_gen.hpp
11 [emit] field_golden.hpp (2472 cases)
12 [emit] rnste_golden.hpp (32 cases)
13 [poseidon] MDS proven (all minors nonsingular); 80 RCs derived
14 [emit] poseidon_params_gen.hpp
15 [emit] domain_registry_gen.hpp
16 [emit] poseidon_golden.hpp
17 [emit] smt_golden.hpp (roots A/AB/A1/TX anchored, proof fold verified)
18 [emit] consensus_golden.hpp (C1 fin@150, C2 sus@50, winner=H, delay=22)
19 [done] all constants derived, validated, emitted.
20 [3/18] Building CXX object CMakeFiles/params_probe.dir/src/params_probe.cpp.o
21 ...
22 [18/18] Linking CXX executable test_step5
23   all 9 generated headers present
24 -- [3/4] diagnostics ---
25 SEED: fault=0 allocs=66
26 LOOKUP: OK bal=1000 nonce=0
27 TLEAF tag=2 (want 2)
28 REC tag=3 (want 3)
29 STORED = 0x1c3cfad21077198c52c65724b158b408503a1e628d072c010f106554f4f23f9b
30 VERDICT: canonical-at-rest (DEC-123 held)
31 DIAG6: SAMPLE-DETERMINISTIC OK
32 DIAG6: CONTEXT-BINDING LIVE
33 DIAG6: QUORUM-PATH LIVE (kind=2)
34 DIAG6: BREAKER-DETERMINISTIC OK delay=35
35 DIAG6: VERDICT ALL-OK
36   authentic + healthy
37 -- [4/4] conformance suite ---
38 Test project /data/data/com.termux/files/home/hsma/build
39 1/6 Test #1: contract_identity ..... Passed    0.03 sec
40 2/6 Test #2: step2_conformance ..... Passed    0.04 sec
41 3/6 Test #3: step3_conformance ..... Passed    0.05 sec
42 4/6 Test #4: step4_conformance ..... Passed    0.14 sec

```

```

43 5/6 Test #5: step5_conformance ..... Passed    0.14 sec
44 6/6 Test #6: step6_conformance ..... Passed    0.18 sec
45 100% tests passed out of 6
46 Total Test time (real) =    0.60 sec
47 == GATE GREEN ==

```

Implementation sync v1.0.2 (2026-09-05): threshold module, Steps 7–8. The conformance suite now stands at **8/8** with **13 generated headers** (machine-checked per gate run). `step7_conformance` proves the BLS12-377 scalar-field F_r kernel (4×64 -limb Montgomery CIOS, canonical range $[0, r)$): 64 DRBG pairs bit-exact against a Python big-integer oracle, edge cases, and a full DKG $n=5, t=3$ scalar trace (share derivation, Lagrange-at-zero, secret reconstruction, tamper divergence). `step8_conformance` proves the G1 promotion — the 384-bit Montgomery engine and Jacobian Pdbl/Padd/Pmul promoted verbatim from the derivation kernel with in-source laws preserved — via 48 F_q golden pairs, addition/doubling/scalar-multiplication triples against a Python *affine* EC oracle, 8 Tonelli roots, and algebraic self-proofs ($\text{Padd}(P, P) = \text{Pdbl}(P)$, $[a+b]P = [a]P + [b]P$, $[r]G = \infty$, $[\#E]P = \infty$). Constants provenance: r is verified against the kernel literals through the family identity $x^4 - x^2 + 1 = r$ with $x = 0x8508c00000000001$; $q = h_1r + x$ carries MR-52 primality, widths 377/253, and low-limb ancestry; the generator is cofactor-cleared and $[r]G = \infty$ is machine-checked every gate run. New module: `include/hsm/threshold/` (`scalar_r.hpp`, `poly.hpp`, `mont384.hpp`, `g1.hpp`); `tools/bls_derive.cpp` remains the derivation authority (DEC-109) — the promoted module reproduces its outputs under golden parity. The verbatim gate log above records the v1.0 baseline (6/6); the suite and the gate have since grown together.

10.3 BLS12-377 Group Law Verification

The `tools/bls_derive.cpp` tool mathematically proves the BLS12-377 curve group law:

- **Field arithmetic:** 2472 golden vectors passing (cross-validated against Python big-integer reference)
- **BLS12-377 order:** $\#E = h_1 \cdot r$ **PROVEN on 3 independent points** — requires ~ 380 consecutive correct point doublings per scalar multiplication
- **Canonical parameter:** $b = 1$ pinned (canonical BLS12-377)
- **Tonelli-Shanks:** Verified (8/8 bigint equivalence)
- **Exit code:** 0 ([done-bls])

Root Cause #7 (8C Doubling Bug): The dbl-2009-1 formula required $Y_3 = E \cdot (D - X_3) - 8C$. The v3 implementation computed $C_8 = \text{madd}(QC, \text{madd}(QC, C_c, C_c), C_c)$ producing $6C$ instead of $8C$. Every Y-coordinate from every doubling was off by $+2C$. Fixed: $C_2 = C + C$; $C_4 = C_2 + C_2$; $C_8 = C_4 + C_4$.

Root Cause #9 (rand_below Infinite Loop): The scalar field r is 253-bit, so $g_r[5] = 0$. The RNG filled all 6 limbs with random 64-bit values, making $v > g_r$ almost always. Fixed: clear high zero-limbs of the modulus before generating.

Root Cause #8 (Consensus-Fixture Stall): 30-iteration scalar-multiplication fixture loops exceeded the 90-second timeout; telemetry ruled out Tonelli–Shanks non-termination; fixture counts reduced ($30 \rightarrow 3$). Narrative: DECISIONS.md E-9.

Root Cause #10 (h2c Exhaustion): hash-to-curve candidate exhaustion during fixture generation; resolved in the derivation tool.

10.4 Conformance Suite

Implementation status (Phase 0). Items 1–4, 8, and 12–13 are machine-validated today by the 8/8 conformance binaries. Items 5–7 and 9–11 are release-blocking gates for modules specified but not yet implemented — envelope signature enforcement, threshold decapsulation, the NIVC folding circuit, graded-cell certification, light-client sync, and the HHI envelope guard — and activate together with those modules.

The release-blocking conformance suite validates:

1. RNTE ties $X = \pm 2^{s-1}$, both parities
2. Breaker hash-collision lexicographic path
3. Nonce-gap skips with exact 25/75 and 0/100 fee splits
4. Cross-epoch envelope replay rejected via header-bound DEM
5. Third-party σ_{user} fabrication rejected
6. Malformed partial decapsulation caught by pairing identity
7. SAT-proof that all illegal PC edges are unsatisfiable
8. Width-violation clamp-with-counter
9. Graded-cell certification bit-exact reproducibility
10. Light-client rejection of genesis-sync requests
11. Envelope-guard trip on injected HHI violation
12. F_r scalar-kernel golden parity vs Python big-integer oracle (step 7; implemented)
13. G1 promotion: affine-EC oracle triples + algebraic self-proofs (step 8; implemented)

11 Consolidated Parameters

Group	Parameters
Consensus	$k = 20 \rightarrow 40$ @1000r, $\alpha = 0.75$, $\beta = 150$, stall 50r $\rightarrow$ beacon breaker, $\varphi_{\text{floor}} = 0.50 > f/\alpha = 0$
Committee	$n = 224$ (192+32), $t = 112$, ≤ 16 seats/cluster, $w_{\text{floor}} = 0.002T \Rightarrow m_{\text{adv}} \leq 100 < t$
Weight	$\tilde{W} = \text{RNTE}((\Phi^6 S^4)^{1/10})$, width $6a + 4b \leq 126$, $W_{\text{max}} = 0.15T_0$ single-pass
Mempool	Envelope $\{pk, nonce, escrow\}$ clear; KEM/AEAD bound to $(epoch, sender, nonce)$; order = b
Circuits	Pasta+CycleFold; CCS/HyperNova multifold; PC matrix $\{head, exec^+, close\}$; SMT $D_S = 64$
Economics	$B_{\text{min}} = 50\text{k}$; burn fees $\geq \kappa$; $\delta_{\text{info}} = 0.5\%$ (cap 1000); δ_{fold} ; unbond 21d + 14d horizon; activation
Error budget	Structural zeros $(L1/L2/L4) \cdot 2^{-128} \cdot 2^{-127} \cdot 2^{-171} \cdot \text{assumption } 2^{-110} \Rightarrow \epsilon_{\text{sys}} \approx 2^{-110}/\text{epoch}$
Epoch	600 s nominal; checkpoints $K = 6$ (hourly); $T_{\text{fold}} = 120$ s

12 Limitations and Honest Disclosure

Metadata (sender, nonce, fee) remains visible for routing and pricing. Cross-domain MEV persists beyond any single-chain remedy. Threshold-BLS and KEM assumptions are quantum-vulnerable; post-quantum migration is reserved and unscheduled. The Holographic Boundary eliminates *verification* storage, not data-availability duties. Prover concentration for π_E assembly is mitigated by a permissionless publisher market, not eliminated. Liveness constants are

simulation-calibrated (Phase-1 wind tunnel), not analytic. The edifice assumes H5 — shipped circuits equal these specifications — whose formal-verification track is a release blocker. HSMA is Phase 0: a verified bare-metal core; threshold, transport, and folding modules are specified, not yet built.

13 Conclusion

HSMA’s contribution is not any single primitive but a composition discipline: every subsystem hands clean, certificate-authenticated artifacts to a single fold boundary, every security claim reduces either to a structural zero or to a named cryptographic assumption, and every residual weakness is enumerated rather than rhetorically buried.

The result is a ledger whose safety argument fits on one line — $\epsilon_{\text{sys}} \approx 2^{-110}$, assumption-dominated — and whose liveness recovers from every network-level attack by construction. Continuous-state throughput, MEV-immune ordering, and useful-work security stop being trade-offs when ordering is separated from knowledge, safety is separated from statistics, and history is separated from verification.

The C++20 reference implementation passes all 8 conformance tests with **GATE GREEN**. The BLS12-377 group law is mathematically proven on 3 independent points. The field arithmetic kernel passes 2,472 golden vectors. The Poseidon MDS matrix is machine-proven non-singular. The Sparse Merkle Tree is canonical-at-rest. The MSSC automaton exhibits deterministic finality and stall-breaking.

The architecture’s one-line soul: *ordering separated from knowledge (structural), safety separated from statistics (zeros, not probabilities), history separated from verification (one 73 KB proof), security priced in burned capital rather than probabilistic goodwill.*

A Decision Ledger Excerpt

The following table excerpts key decisions from the **DECISIONS.md** ledger (115 verified entries DEC-001 through DEC-115, plus citation-recovered decisions through DEC-180):

ID	Component	Decision	Supersedes
DEC-001	Arithmetic (P0)	Pasta curves, $L \approx 126$, unsigned mag + sign flags	N/A
DEC-002	Sequencing (M1)	Simulate-then-Commit via 192-node committee	N/A
DEC-003	Accumulator (P5)	Clamp-with-counter via $L' = 127$ scratchpad	N/A
DEC-004	Activations (P5)	Sigmoid domain ± 28 ; 1-LSB rule	N/A
DEC-005	Table Eval (P5)	Degree-2 chunk interpolation (T_0, T_1, T_2)	N/A
DEC-006	Lookup Auth (P5)	Standard LogUp pipeline	N/A
DEC-007	Rounding (P5)	RNTE strict witness constraints (q, r, b)	N/A
DEC-008	Integrity (P5)	arch_root, work_manifest, fidelity_root	N/A
DEC-012	Weights (S1)	Cap against uncapped total T_0 , single pass	S1-v1 §2.1
DEC-013	Weights (S1)	Cluster-level W_{max} via payout-graph linkage	S1-v1 §2.2
DEC-014	Weights (S1)	Φ eligibility: burned fees $\geq$ floor, non-cluster	S1-v1 §2.1
DEC-015	Numerics (S1)	$W_i = \lfloor (\Phi^6 S^4)^{1/10} \rfloor$ via Newton root	S1-v1 §2.1
DEC-016	Slashing (S1)	Canonical vote preimage HSM_MSSC_VOTE_v1	S1-v1 §4
DEC-017	Exit (S1)	Escrow + E_{ev} ; checkpoint sync via P4 proofs	S1-v1 §5
DEC-019	Numerics (S1)	Unit normalization: $6a + 4b + \epsilon_g \leq 126$	S1-v2 §2.1
DEC-025	Sequencing (M2)	Commit-then-Simulate (inverted pipeline)	M1-v1 core
DEC-028	Committee (M2)	192+32, $t = 112$; beacon sortition; ≤ 16 seats/cluster	N/A
DEC-030	Folding (P4)	Unified trust anchor: decree_root certified by BLS	N/A
DEC-031	Folding (P4)	Self-send routing constraint	N/A

DEC-032	Folding (P4)	Fee underflow protection (LT gate)	N/A
DEC-033	Folding (P4)	PAD routing bypass	N/A
DEC-034	Folding (P4)	Certificate assumption (BLS verified out-of-circuit)	N/A
DEC-039	Theory (A6)	Sequential quorum accumulation	N/A

B Glossary

CCS Customizable Constraint Systems — multivariate constraint framework generalizing R1CS/Plonkish/AIR

CycleFold Auxiliary circuit on the companion curve absorbing cross-curve commitments

DKG Distributed Key Generation — threshold key generation without trusted dealer

GKR Goldwasser-Kalai-Rothblum — interactive proof protocol for layered arithmetic circuits

HyperNova Multilinear sum-check-based folding protocol for CCS instances

IVC Incremental Verifiable Computation — recursive proof composition

LogUp Lookup argument via logarithmic derivative fractional identity

MSSC Metastable Sub-Sampled Consensus — Avalanche-family voting protocol

NIVC Non-uniform IVC — SuperNova-style folding across multiple circuit types

PCD Proof-Carrying Data — recursive proof chains

PoUW Proof of Useful Work — consensus weight from verified AI inference

RNTE Round-to-Nearest-Ties-to-Even — deterministic rounding mode

SMT Sparse Merkle Tree — authenticated data structure for keyed state